

complaint

V's complaint is about AXA Insurance UK Plc not paying interest on settlement of its claims for theft and arson or compensation for delay.

background

V made claims for theft and arson under its shop and restaurant policy. After the claims were declined and its policy cancelled, I made a decision requiring AXA to reinstate the policy, settle the theft claim and consider the arson claim.

When it settled the claims AXA didn't pay any interest or compensation for delay. Our adjudicator felt that AXA should pay interest but needn't pay any compensation. V asked for its complaint to be referred to an ombudsman.

V was also unhappy with AXA's calculation of business interruption losses but as this hadn't been raised with AXA it's being dealt with as a separate complaint. What I have to say about interest in this decision doesn't apply to any payments for business interruption losses.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

AXA has argued that it shouldn't have to pay interest because it wasn't responsible for any avoidable delays in settling these claims. I agree with that, and said so in my previous decision. But I think AXA has misunderstood the purpose of interest. The basic principle behind an insurance payment is indemnity - that is to put the policy-holder in the position he or she would have been in if the insured event had never happened.

Where there's been a time-lag between the insured event and payment that will often mean the insurer paying interest, otherwise the insured is not being put back in the same position. That principle applies whether or not the time-lag was avoidable or the insurer's fault.

Compensation, however, is only paid where the policy-holder has been caused additional problems or distress by avoidable delay or mistakes by the insurer. I've already said that this was a case requiring detailed investigation and I don't think AXA was responsible for avoidable delay here or that it would be fair to award compensation.

my final decision

My final decision is to uphold the complaint in part. AXA Insurance UK Plc should pay interest (less tax if properly deductible) at 8% simple per annum on the theft claim and material damage elements of the arson claim from the respective dates of loss to the date of payment.

Under the rules of the Financial Ombudsman Service, I'm required to ask V to accept or reject my decision before 22 April 2016.

Jonathan Coppin
ombudsman

